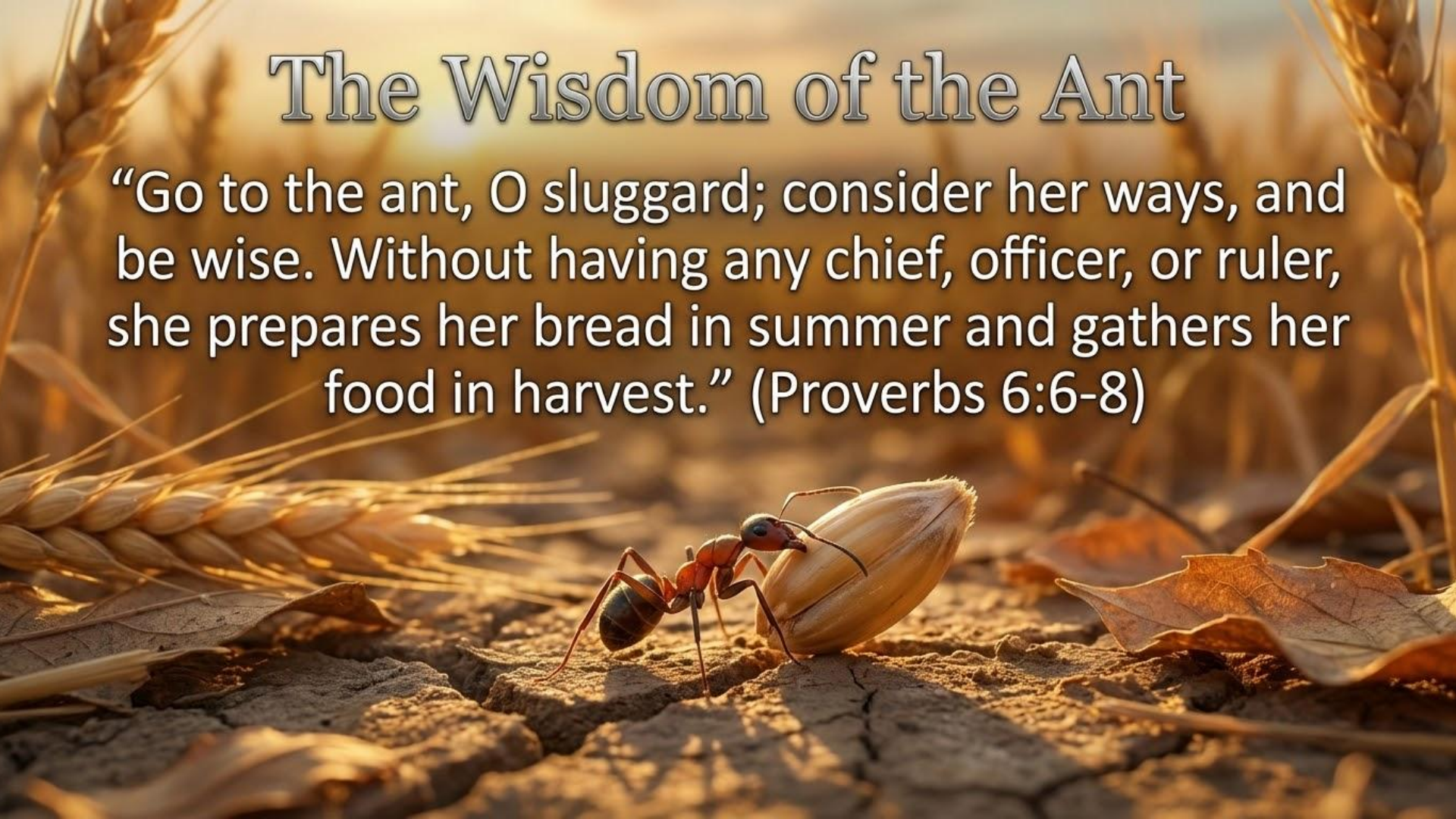
Faithful Finances

Week 3: The Saver

The Wisdom of the Ant

"Go to the ant, O sluggard; consider her ways, and be wise. Without having any chief, officer, or ruler, she prepares her bread in summer and gathers her food in harvest." (Proverbs 6:6-8)

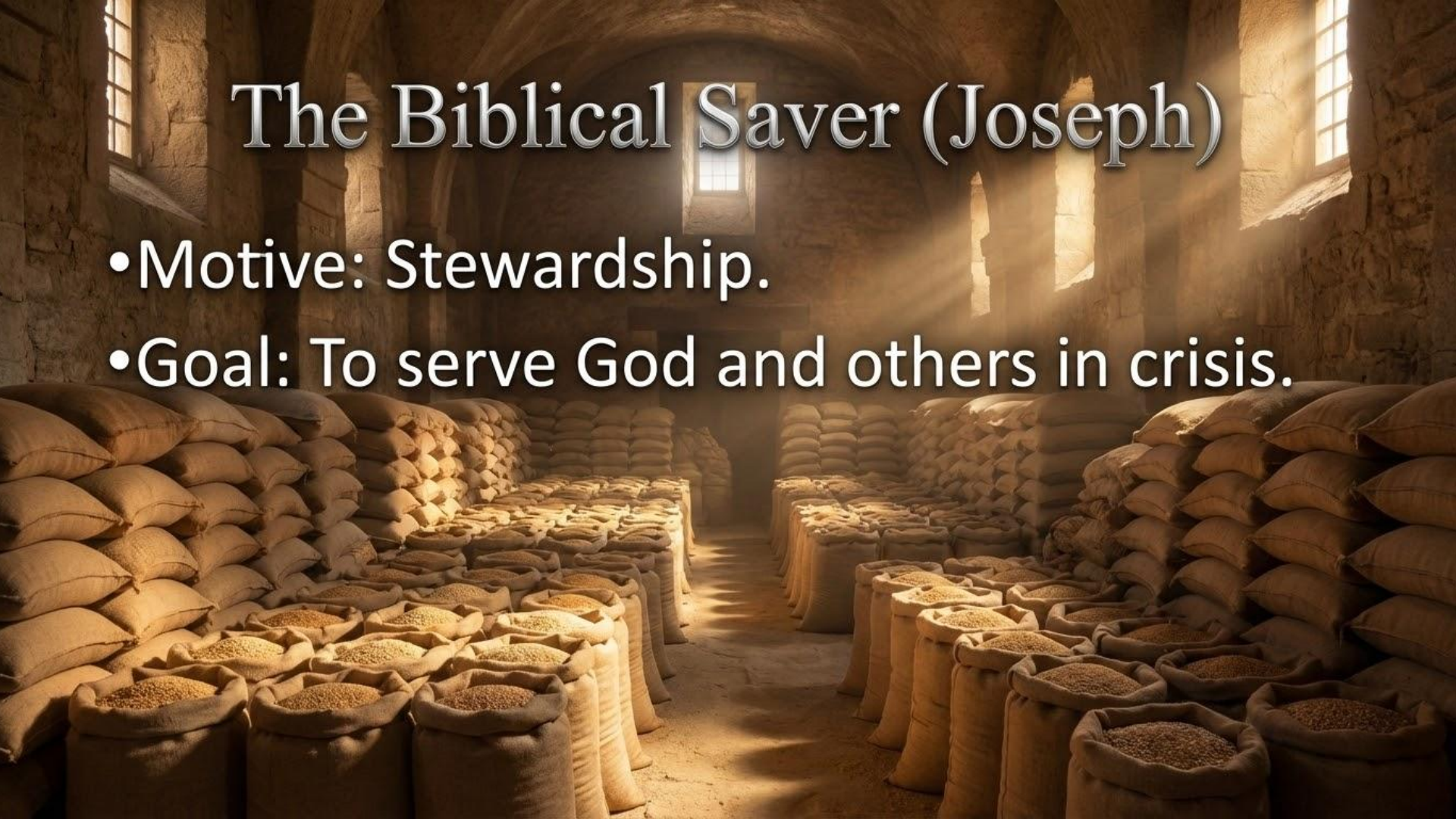


The Hoarder (The Rich Fool)

- Motive: Independence ("I" and "My").
- Goal: To not need God.

The Biblical Saver (Joseph)

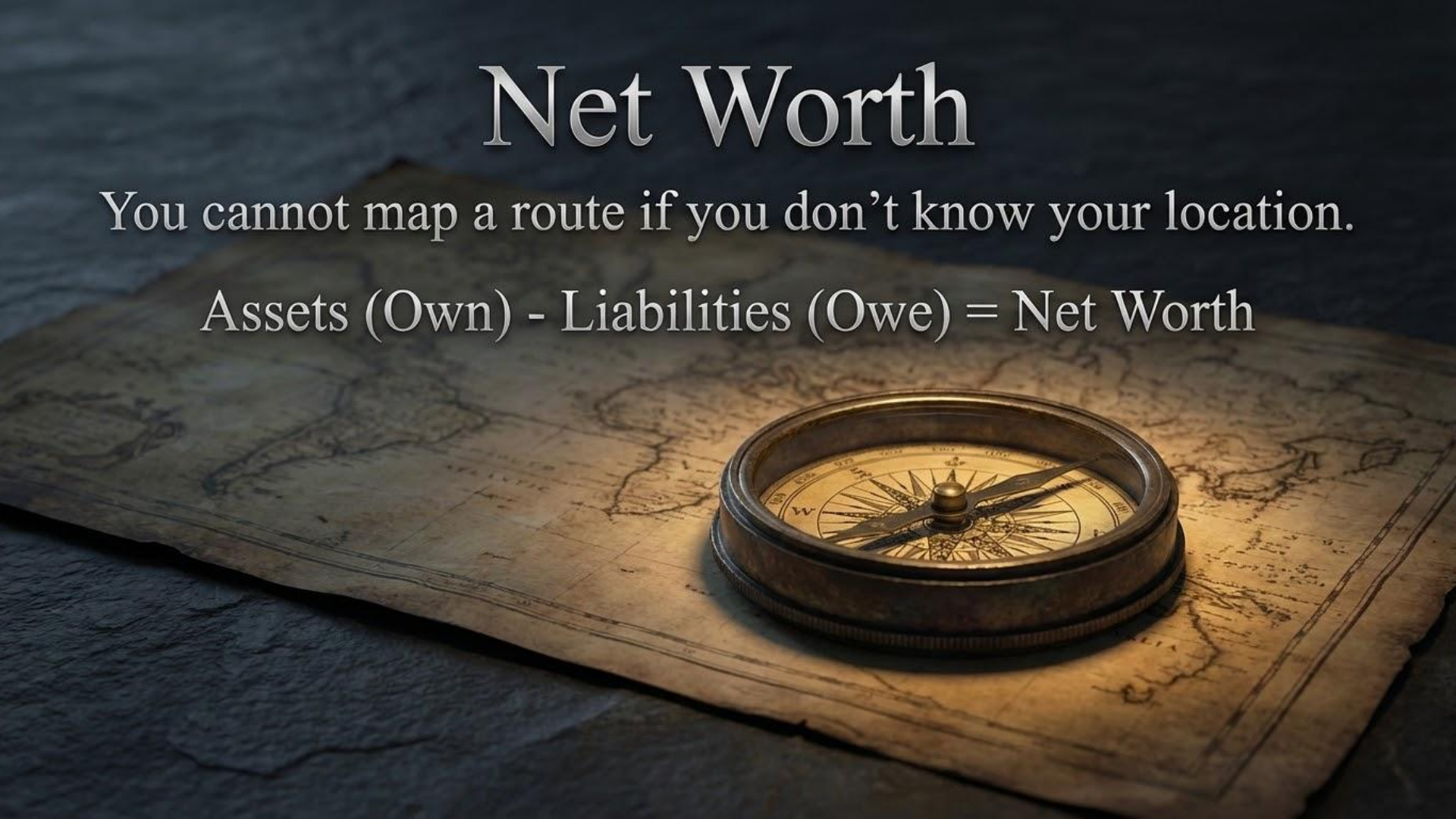
- Motive: Stewardship.
- Goal: To serve God and others in crisis.



Net Worth

You cannot map a route if you don’t know your location.

Assets (Own) - Liabilities (Owe) = Net Worth



Net Worth Statement

Example

Assets	Value
Savings	$10,015
Checking	$2,031
Stock Portfolio	$5,781
401(k)	$7,632
ROTH IRA	$2,743
Car	$6,000
Jewelry	$900
Total Assets	$35,102

Liabilities	Value
Credit Cards	$3,451
Car Loan	$12,988
Student Debt	$14,078
Total Liabilities	$30,517

Total Net Worth
$4,585

Net Worth Calculator

Finding the Surplus

Margin is the fuel for freedom.

THE 7 BABY STEPS

STEP 1: **SAVE $1,000**
in a beginner emergency fund.

STEP 2: **PAY OFF ALL DEBT**
except for the house.

STEP 3: **SAVE 3–6 MONTHS**
of expenses for emergencies.

STEP 4: **INVEST 15%**
of your income for retirement.

STEP 5: **SAVE FOR COLLEGE**
for your children.

STEP 6: **PAY OFF HOUSE**

STEP 7: **BUILD WEALTH & GIVE**

Phase 1: Defense

Start: Save $1,000 immediately.

Goal: 3-6 Months of Expenses.

The "Shock Absorber" between you and life.

Transferring Risk

- Life: Term (Protection) vs. Whole (Avoid).
- Liability: Umbrella Policy (Sleep at Night).
- Deductibles: Use Savings to Lower Premiums.

Phase 2: Offense

Path A: The Fighter

- Situation: Toxic Debt
- Strategy: Gazelle Intensity

The Debt Snowball

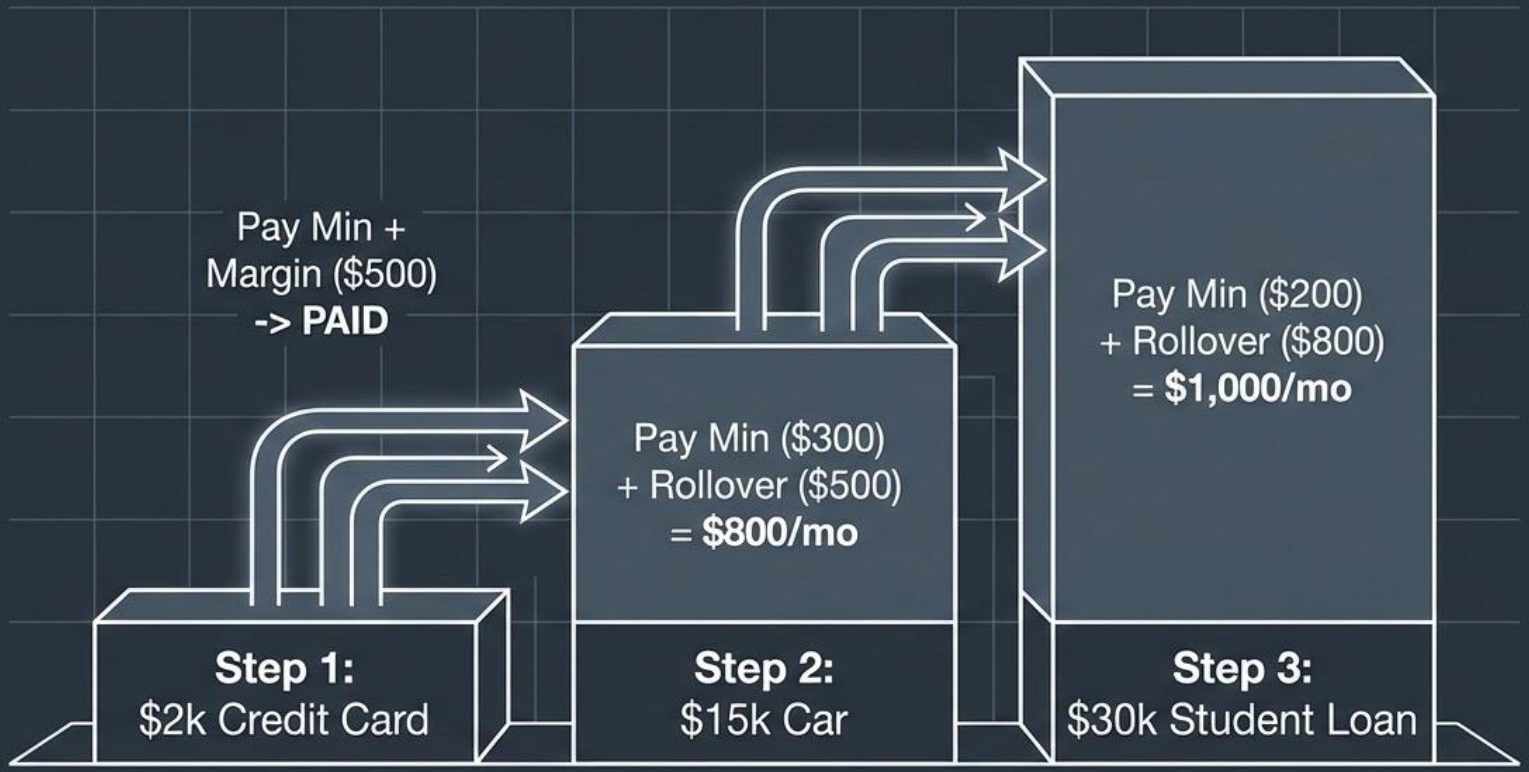
List debts smallest to largest.

Ignore interest rates.

Pay minimums on everything else.

Attack the smallest with intensity.

The Snowball Effect



Loan Scenario Spreadsheet

Path B: The Treadmill

Working Hard, Going Nowhere.

Situation: Positive Net Worth, but stuck with payments.

Strategy: Balanced Approach. Kill the debt to free the cash flow.

Path C: The Builder

- Situation: Debt Free.
- Strategy: Optimization. Maximize investing and prepare for big purchases.

Targeted Savings

Don’t just save. Save for a purpose.

$$\frac{\text{Total Cost}}{\text{Months}} = \text{Monthly Savings}$$

Defining “Enough”

The Trap: 50/30/20 gives “permission” to spend, regardless of debt.

The Better Path: Goal-Based Savings (Fill the Buckets).

Define the Goals: Expense x Months.

The Price of Freedom

- Sacrifice now to succeed later.
- Contentment is the secret weapon.

Summary

- The Ant: Humble Preparation.
- Net Worth: Know your location.
- Find Margin: The Fuel for Freedom.
- The 3 Paths: Know your strategy.

Next Steps

1. Calculate Your Net Worth
2. Assess Your Margin
3. Set Targeted Savings Goals

Margin Illustration

Questions?